

Unit 3 – Section 1: Business Objectives & Strategy

Mixed Topic Practice Questions

Covers: Mission Statements | Corporate Objectives | Ansoff Matrix | Porter's Generic Strategies | Portfolio Analysis | SWOT | PESTLE | Porter's Five Forces

Structure: 4 Mark (Explain / Construct / Define), 8 Mark (Assess), 12 Mark (Discuss), 20 Mark (Evaluate)

4-Mark Questions

1. Explain one benefit of having a mission statement. (2023 Jan Q1)
2. Define the term "corporate objective." (2022 Jun Q1a)
3. Explain one difference between market development and diversification. (2021 Oct Q2)
4. Explain one benefit to a business of using the Boston Matrix for decision-making.
5. Explain one purpose of conducting a SWOT analysis.
6. Define the term "competitive rivalry."
7. Explain one limitation of using PESTLE analysis for strategic decisions.

8-Mark Assess Questions

8. Assess the importance of SMART objectives for businesses such as Tesco or Starbucks.
9. Assess the usefulness of the Ansoff Matrix for guiding strategic decisions in Apple.
10. Assess the impact of cost leadership on business competitiveness using Aldi as an example.
11. Assess the usefulness of SWOT analysis when entering new markets.
12. Assess the value of PESTLE analysis when planning long-term business growth.
13. Assess whether portfolio analysis is a reliable tool for resource allocation in firms such as Unilever.

12-Mark Discuss Questions

14. Discuss whether diversification is always a high-risk strategy. (Ansoff Matrix)
15. Discuss whether a differentiation strategy is more effective than cost leadership for firms like Dyson. (Porter)
16. Discuss whether mission statements have a genuine impact on employee motivation and performance. (Mission & Objectives)
17. Discuss whether businesses should prioritise short-term profitability or long-term strategic objectives.
18. Discuss whether internal analysis (SWOT) or external analysis (PESTLE) is more useful when making strategic decisions.

20-Mark Evaluate Questions

19. Evaluate whether corporate objectives should focus primarily on financial performance or stakeholder satisfaction. (Corporate Objectives)
20. Evaluate the extent to which the Ansoff Matrix is an effective tool for strategic planning in multinational firms like Starbucks.
21. Evaluate whether cost leadership or differentiation is the most sustainable long-term competitive strategy. (Porter)
22. Evaluate whether portfolio analysis (Boston Matrix) provides a reliable foundation for resource allocation in diverse firms like Unilever.
23. Evaluate whether external forces (PESTLE / Five Forces) or internal capabilities (SWOT) have a greater influence on long-term business success.

Student Reflection & Self-Review

After completing each question:

- Identify the model or theory used (e.g., Ansoff / Porter).
- Highlight key evaluation terms (e.g., “depends on,” “short vs long term”).
- Write a one-sentence judgement at the end of each response.